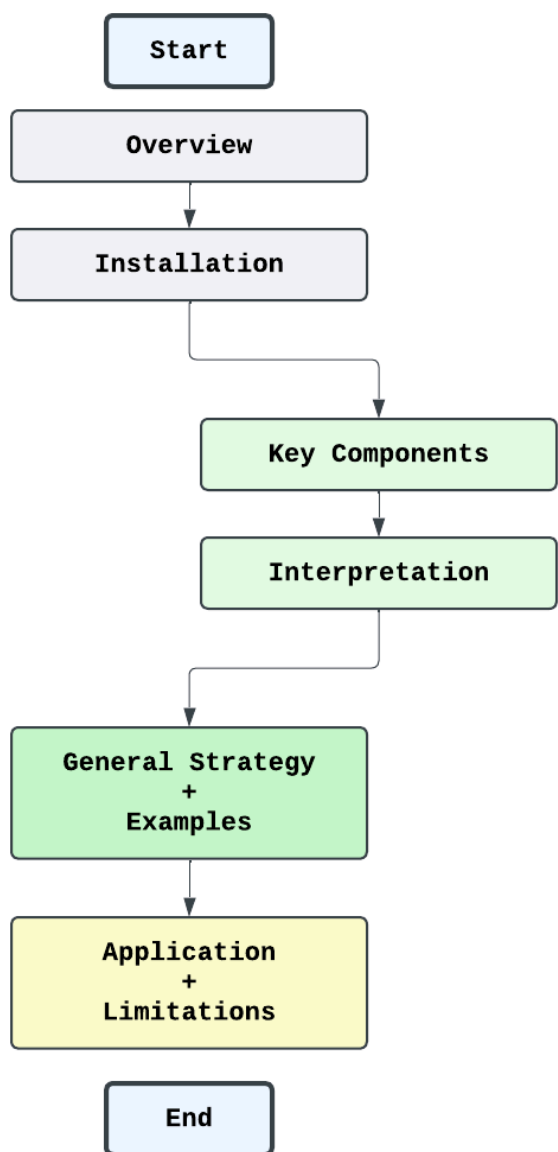




SIGNALS INDICATOR

ONBOARDING DOCUMENTATION v1.0

This document is designed to help new users set up and understand the **Signals** indicator. The guide will walk you through its features, interpretation, and best practices.



A. Overview

Think of market trends and price movement like a car engine where the parts of the engine are price, momentum, and volume. If they aren't in sync, the engine can stall.

Signals spots those "mismatches" using momentum and volume data to flag potential reversals or weaknesses.

It answers (2) key questions:

1. Is there a divergence signaling a potential reversal?

2. Is it confirmed by momentum and/or volume exhaustion?

It's great for (3) things:

1. Detecting hidden bullish/bearish shifts in trends

2. Confirming reversals with multi-indicator alignment

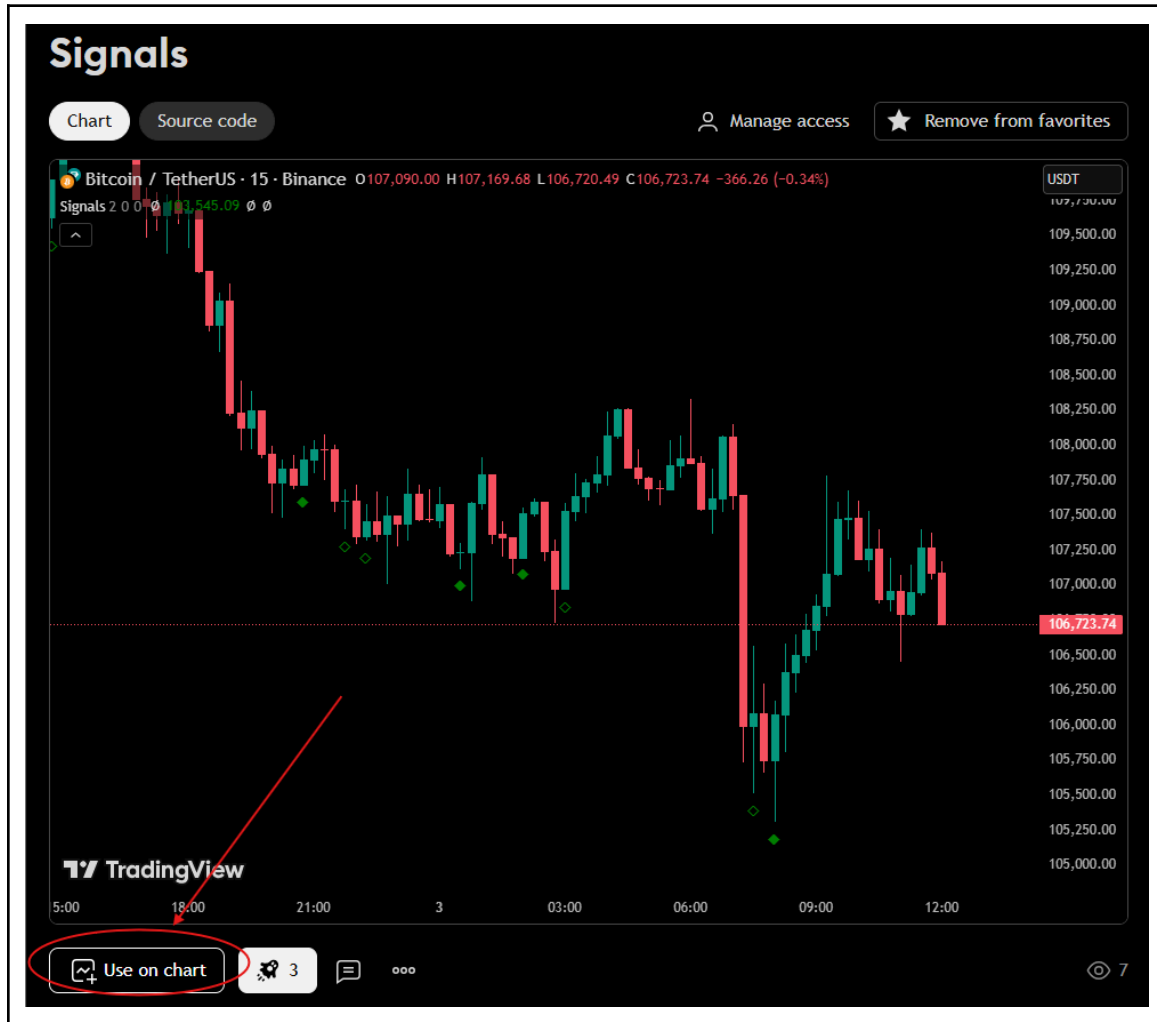
3. Filtering weak trends before they break

 This indicator is versatile in its calculation where it can be applied to any market (e.g. stocks, forex, crypto, or any market with sufficient volume data and price data. Not a standalone trading system but a decision-support tool.

B. Installation Instructions

1. Open this link: [Signals](#)

2. Click “Use on Chart”



3. Done! ✓

C. Key Components

Component	Description	Visual Cue
Strong Bull ("++")	Divergence in both momentum and volume High-conviction reversal up	 Green Diamond Filled
Strong Bear ("--")	Divergence in both momentum and volume High conviction reversal down	 Red Diamond Filled
Momentum Bull ("+")	Divergence in momentum only Moderate conviction reversal up	 Green Diamond Hollow
Momentum Bear ("-")	Divergence in momentum only Moderate conviction reversal down	 Red Diamond Hollow

D. Interpretation

Signals spots divergence between price and momentum/volume. Price action may say one thing, but momentum/volume say another similarly to **Ebb + Flow**.

I. Where Is The Line Relative to Zero?

Label	Interpretation	Playbook
Strong Bull 	Strong Conviction Bullish reversal where price is forming support	Enter long if volume follows through to the upside
Strong Bear 	Strong Conviction Bearish reversal where price is rejecting resistance	Enter short if volume follows through to the downside
Momentum Bull 	Moderate Conviction Bullish reversal	Watch for confirmation If multiple signals flash, enter long at support
Momentum Bear 	Moderate Conviction Bearish reversal	Watch for confirmation If multiple signals flash, enter short at resistance

E. General Strategy + Examples

Signals is a divergence engine, using both momentum and volume to detect hidden trend weaknesses for reversals or continuations. It is exceptionally strong at flagging when momentum and/or volume are not analogous with price action.

I. Multi-Timeframe Confluence

i. Court Analogy

Similarly aforementioned in other documents, the idea of multi-time frame confluence means using the Signals indicator with reference to multiple chart timeframes at the same time to make stronger, more confident decisions.

This time we are going to use a court analogy where supporting evidence helps build a defense case. Reference bigger and smaller timeframes to see if they all “agree” to build a strong, supporting case.

Think of it as layers of evidence for confirmation:

1. The Big Case (HTF)

→ [Weekly, Daily]

→ These show the “major proofs” – higher confidence timeframes

2. The First Person Witness (MTF)

→ [4H, 2H, 1H]

→ These represent “first-person accounts” in the big case’s strength.

3. The Clues (LTF)

→ [1H, 30m, 15m, 5m]

→ The fine details that give the exact “verdict” signal.

- Why do this? Lower time frames alone don’t provide enough confirmation, while longer timeframes hold more weight.

ex:

HTF: no signal

MID TFs: 1 hollow bearish signal

LTF 1H: 1 hollow bearish signals, 2 filled bearish signals

LTF 15m: 3 filled bearish signals

While HTF did not confirm the move, there was a momentum divergence on the 4H, 2 hollow/filled bearish signals on the 1H, 3 filled bears signals on the 15min.

We have sufficient information that a reversal downward is in the mix.

II. Trend Reversal

While multi-timeframe confluence is important, multi-indicator confluence is just as important. Below is a clear example in

i.1D - The Big Case

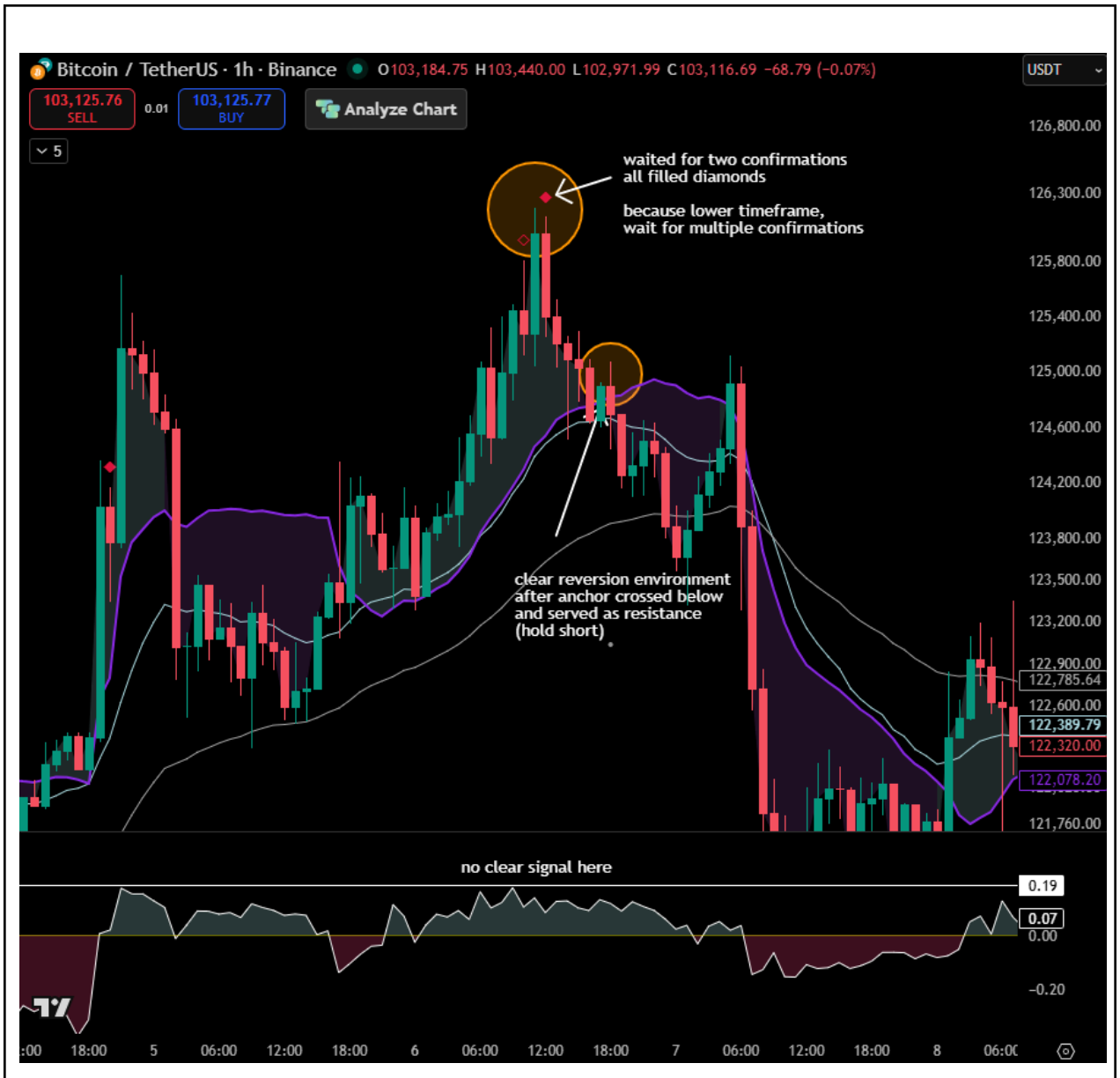
**for sake of the example, assume that red diamond has not printed.
This is for reference to multi-indicator confluence*



i.4H - The Witness

Base Case given that 1D did not have any signals
1H served as confirmation layer





i.15m - The Ripples

4H and 1H confirm bias, we use the 15m to enter off of 2-3 confirmations with confluence of other indicators in the system.



F. Applications and Limitations

I. Limitations

While robust, the indicator has inherent volume pitfalls. Understand these to mitigate misinterpretation, over-reliance, and losses.

Limitation	Description	Interpretation
False Signals In Trends	Strong trends ignore divergences	If price is trending up or down with momentum, fading hollow diamonds with other indicator confluence is very important
Lagging Detection	Signals upon that divergence is currently unfolding	May flash in/out based on whether price confirms divergence move
Volume Dependency	The more volume, the higher the accuracy The lower the volume, the lower the accuracy	Avoid using against illiquid assets
False Extremes in Gaps	News gaps jump bands without reversions	Give less decision-weight on event days
Capped Length	Can be ineffective on very long TFs such as 1M	Tradingview only allows for a certain amount of references and lengths.
Divergence False Positives	Not all divergences reverse	Confirm with volume and confluence with other indicators to increase strength

Signals is your divergence detector. Signalling you to pay careful attention.

Win by waiting and reacting swiftly to confirmed, filled divergence, and with confluence to ALL indicators within the system.

